

GLOBAL WEEK IN REVIEW

The weekend companion to your Daily Need to Know

Everything that mattered this week. Week ending Friday 14 August 2026, US close. All times GMT+8.

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Weekly Market Snapshot

Friday 14 August closing levels and the week's Friday-to-Friday move. *Green = up, red = down.*

Instrument	Fri Close	Week	Note
S&P 500	7,785.76	+0.4%	3rd straight weekly gain; record close 7,798.99 Thu before Fri fade. YTD ~+12-13%.
Nasdaq Composite	26,729.16	+0.1%	Also a 3rd straight weekly win; megacap tech wobbled late.
Dow Jones Ind. Avg.	53,732.41	-0.6%	Laggard as defensives/industrials mixed.
Russell 2000	~3,060	+1.1%	Fresh record; 4th up day; outpacing S&P YTD — the week's tell.
US 10Y yield	~4.68%	~+3 bp*	Dipped on in-line CPI, backed up Fri on soft retail sales & oil.
US 2Y yield	~4.17%	~flat*	Short-end 'broke TRADE' on the dovish CPI read. 2s10s ~+52 bp.
Dollar (DXY)	~99.6	~flat	Popped >100 midweek, reversed lower on weak US data.
Gold (spot)	~\$4,385/oz	+~1-2%	2nd straight weekly gain; near a 10-week high.
Silver (spot)	~\$65/oz	+>2%	Extends prior week's ~+11%; industrial + haven bid.
Brent crude	~\$87/bbl	+~4%	Strait of Hormuz closure; pared from +6.5% midweek.
WTI crude	~\$81/bbl	+~4%	US threat of indefinite Iran blockade; IEA stockpile warning.
Bitcoin	~\$62,700	~-4%	ETF outflows; ~-49% below Oct-2025 record. ETH ~\$1,875.
VIX	~14.3	low	Sub-15 all week; complacent, near the floor of its range.

*Weekly rate moves are approximate; the 10Y traded a ~4.60-4.74% band and ended little-changed. Verify live levels before acting.

TL;DR

The week the S&P printed a fresh record above 7,800 — then faded Friday. An in-line July CPI (3.4% y/y) cooled fears of a Fed hike and set off a textbook rotation: small caps (Russell 2000 to a record), energy, value and gold led, while AI bellwethers Cisco and Applied Materials beat but sold off and **Nvidia slipped back below Apple**. Beneath the calm (VIX ~14), a stagflation whiff — hot core PPI, retail sales -0.6%, sentiment

collapsing to ~51 — kept a hawkish, Warsh-led Fed live. Hedgeye's tell: a **Quad Shift** (monthly Quad count 3-1-2, tilting toward Quad 1/2) out of July's brutal #Quad4 liquidation.

The Big Picture — What the Week Meant

1. Records, then a Friday fade — a third straight weekly gain.

The S&P 500 cleared 7,800 for the first time and closed at a record 7,798.99 on Thursday, then eased ~0.2% Friday to 7,785.76. It still booked a third consecutive weekly gain (~+0.4%), as did the Nasdaq. The Dow lagged (~-0.6%). The Friday wobble tracked a soft consumer-sentiment print rather than anything structural.

Read: The melt-up is intact but tiring. With SPX in the upper half of Hedgeye's 7,606–7,861 risk range, this is a trim-and-trade tape, not a chase-it tape — buy dips toward the low end.

2. An in-line CPI killed the 'hike' scare — for now.

July CPI rose just 0.1% m/m and held at 3.4% y/y (core 2.5% y/y), read by macro tourists as 'dovish.' That trimmed near-term odds of a Fed hike and lit the early-week risk-on tone. Crucially, the short end (2Y) 'broke TRADE' on the print, greenlighting a rotation toward growth and away from rate-sensitivity.

Read: The pain trade was up. The signal that mattered was the front end breaking lower — it is the permission slip for Quad 1/2 leadership (small caps, software) over duration-sensitive defensives.

3. Rotation is the story — small caps, value and energy over megacap tech.

The Russell 2000 hit a fresh record and rose ~1.1% on the week, its fourth straight up session, outpacing the S&P year-to-date. Energy led sectors (~+6% week-to-date through Thursday), with healthcare and financials also higher, while technology/software and semis lagged.

Read: Broadening is healthy — it lengthens the cycle rather than ending it. Lean into RUT, equal-weight (RSP), energy and healthcare; fade the crowded, priced-for-perfection semis.

4. AI is priced for perfection — beats aren't enough.

Cisco beat and guided FY27 well above consensus yet fell ~4% after hours; Applied Materials posted revenue up ~23% y/y and still dropped ~5%. Both are textbook 'good, but not good enough' reactions as the AI-capex complex digests a very high bar. The PHLX Semiconductor Index sits ~19% off its highs.

Read: Own the software layer (IGV) over hardware/semis into this digestion. Hedgeye covered its Semis (DRAM) short but is expressing AI through software and quantum (QTUM), not the crowded chip names.

5. A stagflation whiff — sticky prices, a cracking consumer.

Against the cool headline CPI sat a hot core PPI (+0.4% m/m, +4.7% y/y), a -0.6% drop in July retail sales (worst since May 2025), and a University of Michigan sentiment plunge to ~51 from 55.2. Firm prices plus a weakening consumer is the classic stagflation cocktail — and it capped the dollar.

Read: Own gold, energy and quality. A Fed that can't cut into sticky inflation, facing softening growth, caps multiple expansion — favor real assets and cash-generative compounders over long-duration hope.

6. Nvidia cedes the crown to Apple.

Nvidia fell ~3.5% Friday, dropping its market value back below Apple's and handing Apple the 'most valuable company' title again. Apple is up ~22% YTD, the Mag7 leader; Nvidia only ~+7%. Even as breadth improves below the surface, the very top of the tape is reshuffling.

Read: Single-name concentration cuts both ways. Watch Nvidia's immediate-term TREND: a break lower there is a bigger index risk than the healthy rotation beneath it. Apple's re-leadership is defensive quality doing its job.

Rates, Currencies & Commodities

Rates & credit

The 10Y traded a tight ~4.60–4.74% band, dipping after the in-line CPI before backing up Friday (~4.68%) on soft retail sales, a hot core PPI and an Iran-blockade oil bid; the 2Y sat near ~4.17%, leaving 2s10s modestly positive (~+52 bp). Credit stayed conspicuously calm: US high-yield spreads held very tight (ICE BofA HY OAS ~271 bp) and Hedgeye keeps HYG bullish while flagging LQD (investment-grade duration) bearish.

Read: Credit is not confirming any risk-off — the tape's foundation is intact. The weak link is duration (LQD): if the long end backs up on sticky inflation, that is where the pain shows first, not in HY.

Currencies

The dollar index popped above 100 midweek then reversed lower to ~99.6 as weak US data clipped its wings. EUR/USD pushed to a two-month high near 1.155, GBP/USD firmed to ~1.356 on a UK GDP beat, and USD/JPY hovered ~159 with BoJ-intervention chatter supporting the yen. Hedgeye holds the USD bearish (99.25–100.13).

Read: A soft-data-capped dollar is a tailwind for gold, commodities and non-US assets. Respect the bearish USD signal, but note it is near the low end of its range — the easy down-move may be done.

Commodities

Energy and precious metals both caught a bid. Brent held ~\$87 and WTI ~\$81 (each up roughly 4% on the week, pared from bigger midweek gains) as the Strait of Hormuz stayed effectively closed and the IEA warned the world is drawing down stockpiles. Gold logged a second straight weekly gain to ~\$4,385 near a 10-week high; silver added >2% to ~\$65 on top of the prior week's ~+11%. Natural gas stayed heavy (Hedgeye bearish).

Read: Energy plus precious metals bid together is the stagflation trade in the tape. Stay long the real-asset barbell — it hedges both the inflation stickiness and the geopolitical tail.

Hedgeye Risk Ranges & Regime

Source: Hedgeye Early Look, “Quad Shift = ATHs”, Keith McCullough, Friday 14 August 2026 (08:10 ET). Immediate-term Risk Range™ Signals as published that morning.

Regime: A monthly Quad count of **3-1-2** — a Quad 3 base tilting toward Quad 1 and Quad 2 — coming out of July's punishing **#Quad4** liquidation (the worst month for fundamental long/short in four years). The book is shifting to smaller caps and growth over rate-sensitivity: added **QTUM (quantum)** and **IGV (software)**; sold **XLRE (REITs)** and **IAK (insurance)**; covered South Korea (EWY) and Semis (DRAM) shorts. Real-Time Alerts carried **zero shorts** from Monday.

Immediate-term Risk Range™ table

Instrument	Immediate-term range	TREND
10Y U.S. Treasury Yield (UST10Y)	4.60 – 4.74	Bullish
High Yield (HYG)	79.43 – 79.98	Bullish
Investment Grade Corp Bonds (LQD)	105.7 – 106.9	Bearish
S&P 500 (SPX)	7,606 – 7,861	Bullish
NASDAQ Composite (COMPQ)	25,908 – 26,992	Bullish
Russell 2000 (RUT)	2,987 – 3,075	Bullish
Health Care (XLV)	164 – 172	Bullish
S&P 500 Equal Weight (RSP)	219.00 – 225.00	Bullish

Instrument	Immediate-term range	TREND
Tech-Software (IGV)	99.00 – 110.00	Bullish
Volatility (VIX)	14.05 – 16.43	Bearish
U.S. Dollar Index (USD)	99.25 – 100.13	Bearish
WTI Crude Oil (WTIC)	74.36 – 85.99	Neutral
Natural Gas (NATGAS)	2.55 – 2.85	Bearish
Gold Spot (GOLD)	4,201 – 4,524	Bullish
Copper Spot (COPPER)	6.46 – 6.76	Bullish
Silver Spot (SILVER)	58 – 68	Neutral

Where we sit

SPX closed at 7,785.76 — in the upper half of the 7,606–7,861 bullish range, closer to the top than the bottom, which argues for trimming and trading rather than chasing. The Russell 2000, equal-weight (RSP) and software (IGV) are all bullish TREND, consistent with the small-cap/growth tilt; gold and copper are bullish, silver neutral. VIX is bearish (vol biased lower) but pinned near the 14-handle floor, and the dollar is bearish near the low end of its band. In short: the machine reads the same Quad shift Hedgeye does — own the broadening, respect that several signals are stretched to the upside of their ranges.

Mag7 Scoreboard

Friday 14 August prices; 1-day move shown where the weekly figure was not verifiable. *Market cap and P/E are approximate estimates flagged for live verification.*

Stock	Price	Move	Mkt cap*	P/E*	Note
Nvidia (NVDA)	\$225	-3.5% (Fri)	~\$4.9T*	~34*	Slipped below Apple; semis heavy.
Apple (AAPL)	\$305.93	+0.2% (Fri)	~\$4.6T*	~34*	Reclaimed most-valuable; +~22% YTD.
Alphabet (GOOGL)	\$343.54	-0.1% (Fri)	~\$4.1T*	~26*	Steady; ad + cloud ballast.
Microsoft (MSFT)	\$495.40	-0.3% (Fri)	~\$3.7T*	~36*	Bullish TREND (Hedgeye).
Amazon (AMZN)	\$262.65	-0.9% (Fri)	~\$2.8T*	~38*	Bullish TREND; AWS watch.
Meta (META)	\$589.85	-0.9% (Fri)	~\$1.5T*	~27*	Capex scrutiny lingers.
Tesla (TSLA)	\$342.27	+0.7% (Fri)	~\$1.1T*	high*	Still bearish TREND (Hedgeye).

*Approximate/estimated — verify live before acting. Combined Mag7 market cap ~\$23.7T (~33.9% of the S&P 500); the group is only ~+5% YTD, lagging the broadening tape.

Leadership read. The megacap complex is reshuffling at the very top even as leadership broadens beneath it. Apple's defensive quality reclaimed the crown as Nvidia gave back ground and the chip trade cooled; Hedgeye's momentum work has **MSFT, AMZN and NVDA bullish** on TREND but **Tesla still bearish**, with the Mag7 basket up ~0.9% Friday. With the group only ~+5% YTD versus a record-setting Russell 2000, the message is clear: the index no longer needs the generals to advance.

Positioning & Options

Volatility stayed on the floor: the VIX held sub-15 all week (~14.3 Friday), inside Hedgeye's 14.05–16.43 bearish range — vol biased lower but with little cushion left. Credit corroborated the calm: high-yield spreads remain very tight (HY OAS ~271 bp) and investment-grade is similarly compressed. The corporate buyback window is open, a mechanical bid under the tape.

Read: Positioning is benign bordering on complacent — near-zero fear priced in. That is fuel for a grind-higher, but it also means the reaction function to a hawkish Fed surprise or an energy shock is asymmetric. Cheap hedges make sense with VIX pinned at the 14-handle.

Sector Rotation — Leaders & Laggards

Leaders: Energy was the standout (~+6% week-to-date through Thursday on the Hormuz oil bid), with healthcare and financials also higher. Small caps stole the show — the Russell 2000 hit a record and rose ~1.1%. **Laggards:** Technology and software early, and semiconductors, as megacap AI names gave back gains after the Cisco and Applied Materials reactions.

Read: Hedgeye flags small caps and dividend stocks 'quietly becoming the Quad 1 leadership trade.' Leadership is rotating out of megacap tech and into small caps, value, energy, healthcare and software (IGV) as the growth expression. Position for the broadening: RSP, RUT, XLV, energy.

Corporate News — The Week's Key Events

- **Cisco (CSCO):** Beat FQ4 and guided FY27 well above consensus (\$72.2–73.4B revenue; EPS \$5.05–5.11) — yet shares fell ~4% after hours. A 'beat-and-fade' on a high bar.
- **Applied Materials (AMAT):** Revenue up ~23% y/y (~\$9B) with solid EPS, but the stock dropped ~5%. AI-capex names are priced for perfection.
- **Oracle (ORCL):** Ripped +5.4% midweek into Hedgeye's momentum 'outbucket' — a crowded long showing froth.
- **Other reporters:** Super Micro, Lumentum, Coherent, Cardinal Health, Simon Property, Tapestry, plus AI-adjacent Cerebras and Nebius — AI optics/compute stayed in focus.
- **Single-stock movers:** National Vision -6% (weak guidance); AECOM -6% (revenue ~-14% y/y).
- **On deck:** Deere (DE) reports Q3 on 20 August (consensus EPS ~\$4.85) — a read on the industrial/ag economy.

Macro Data — The Week's Key Releases

United States

CPI (July, Aug 12): +0.1% m/m; **3.4% y/y** headline, core +0.2% m/m / 2.5% y/y — in line.

Net: The in-line print trimmed near-term hike odds and was the week's risk-on fuel.

PPI (July, Aug 13): final demand flat m/m, **+4.7% y/y**; core +0.4% m/m (hot).

Net: Pipeline inflation is still sticky — it caps how dovish the CPI read can really be.

Retail sales (July, Aug 14): **-0.6% m/m**, the steepest drop since May 2025.

Net: The consumer is cracking — the growth side of the stagflation whiff, and Friday's fade catalyst.

UMich sentiment (Aug prelim, Aug 14): **~51** from 55.2 (~-8%), with rising inflation expectations.

Net: Confidence down, inflation fears up — a stagflationary tell that spooked Friday's tape.

Labor (prior report): -23k jobs; participation the lowest since 1976 (ex-pandemic).

Net: Soft labor supports 'no hike,' but weak supply + soft demand is not the good kind of cooling.

Europe & China

Eurozone Q2 GDP (Aug 14): +0.4% q/q, +1.0% y/y. **UK Q2 GDP (Aug 13):** +0.4% q/q, +1.2% y/y (beat).

Net: Europe is sluggish-but-positive; the UK beat supports sterling. Neither forces a central-bank move.

China: July industrial production & retail sales land next week (Aug 17); July services PMI had slipped to 49.3 (contraction) and passenger-vehicle retail fell ~13% m/m.

Net: Soft China demand is a crosswind for industrial commodities — watch the Aug 17 data.

Geopolitics

- **Middle East / Strait of Hormuz (the dominant driver):** The strait has been effectively closed by Iran since late February 2026. This week Iran signaled it was near a management deal with Oman on shipping routes but

demanded US concessions to reopen; the IEA warned reopening is 'more pressing' as the world burns through stockpiles. Oil held its risk premium (Brent ~\$87 / WTI ~\$81).

- **Tariffs / trade:** The 25% US tariff on India (plus a penalty tied to Russian energy/defense ties), effective Aug 1, remained a live irritant after five rounds of talks produced no deal; Treasury warned tariffs 'could go up.' Section 301 excess-capacity probes continued.
- **Prediction markets:** Polymarket priced a September Fed hike at roughly 32–55% (base case: pause) and ~57% odds of zero cuts across all of 2026; Kalshi had ~92% odds of the July 29 hold (which occurred). Ukraine ceasefire markets stayed low.

Read: *The energy risk premium is structural, not a headline spike — keep the oil/defense hedge on. Tariffs are a stagflation vector (a tax on growth and a push on prices), reinforcing the 'Fed can't cut' setup the rates market is pricing.*

Beyond the Markets — Also Worth Knowing

Summits, conferences & central-bank talk

Jackson Hole runs 27–29 August 2026 ('Financial Innovation: Implications for Payments and Policy') — roughly two weeks out and expected to feature Fed Chair Kevin Warsh's first symposium keynote (unverified). The next near-term Fed catalyst is the July FOMC minutes on Wednesday.

Science & frontier research

A total solar eclipse crossed Europe on 12 August (best views in Spain). Elsewhere, new findings on Saturn's magnetosphere from Cassini data and newly observed ~20 km solar 'plasma whirlpools' made headlines.

Space & frontier tech

SpaceX launched another 24 Starlink satellites from Vandenberg; veteran NASA astronaut Mike Fincke announced his retirement.

Weather & climate

No single market-moving weather event this week, but the Atlantic hurricane season's peak is approaching — a standing watch item for Gulf energy infrastructure into September.

Water cooler

MLB: Reds ace Hunter Greene underwent Tommy John surgery, ending his 2026 season. NFL preseason is underway (Bengals edged the Lions 16–14; Colts and Patriots tied 13–13).

Appendix — Stock Cards

Compact cards for the names materially discussed above. Prices are Friday 14 August; *valuation figures (market cap, P/E, dividend, 52-week) are approximate and flagged for live verification.*

Nvidia (NVDA) ~\$225 (Fri, -3.5%)
Valuation*: Mkt cap ~\$4.9T; trailing P/E ~34; no dividend; 52-wk wide.
Key dates: Next earnings late Aug (Q2 FY27).
6-month trend: Up strongly off spring lows but +~7% YTD; consolidated as leadership rotated away from semis; ~19% pullbacks in the SOX around it.
Read: Own it, but it is the index's single biggest two-way risk — watch the immediate-term TREND.

Apple (AAPL) \$305.93 (Fri, +0.2%)
Valuation*: Mkt cap ~\$4.6T; trailing P/E ~34; div ~0.4%; near 52-wk highs.
Key dates: FQ4 report expected late Oct/early Nov.
6-month trend: Steady grind higher; +~22% YTD, the Mag7 leader; reclaimed the most-valuable crown this week.
Read: Defensive quality doing its job — the ballast when high-beta AI wobbles.

Alphabet (GOOGL) \$343.54 (Fri, -0.1%)
Valuation*: Mkt cap ~\$4.1T; trailing P/E ~26; div small; near highs.
Key dates: Q3 report in late October.
6-month trend: Uptrend intact on search + cloud + AI optionality; among the cheaper megacaps.
Read: Reasonable GARP within the group; a relative-value anchor.

Microsoft (MSFT) \$495.40 (Fri, -0.3%)
Valuation*: Mkt cap ~\$3.7T; trailing P/E ~36; div ~0.7%.
Key dates: FQ1 FY27 report in late October.
6-month trend: Range-to-higher; Azure/AI capex the swing factor; bullish Hedgeye TREND.
Read: Core AI compounder; own on the software/cloud side of the AI trade.

Amazon (AMZN) \$262.65 (Fri, -0.9%)
Valuation*: Mkt cap ~\$2.8T; trailing P/E ~38.
Key dates: Q3 report in late October.
6-month trend: Higher on retail margin + AWS reacceleration hopes; bullish Hedgeye TREND.
Read: Leveraged to both the consumer and AWS — watch the cloud growth line.

Meta (META) \$589.85 (Fri, -0.9%)
Valuation*: Mkt cap ~\$1.5T; trailing P/E ~27; small div.
Key dates: Q3 report in late October.
6-month trend: Strong but choppy as capex scrutiny lingers; ad engine resilient.
Read: Cash-generative AI capex story; the market wants ROI proof.

Tesla (TSLA) \$342.27 (Fri, +0.7%)
Valuation*: Mkt cap ~\$1.1T; trailing P/E very high (growth-priced).
Key dates: Q3 deliveries early Oct; earnings mid-Oct.

6-month trend: Volatile, range-bound; the Mag7 laggard on TREND.

Read: *Still bearish on Hedgeye's signal — a rotation funder, not a leader.*

Cisco (CSCO) Report 8/12; ~-4% after hours

Valuation*: Valuation approximate — verify live.

Key dates: Reported FQ4 Aug 12; guided FY27 above consensus.

6-month trend: Steady; AI-networking optionality; beat-and-fade this week.

Read: *Fundamentals fine; the reaction shows how high the AI bar now sits.*

Applied Materials (AMAT) Report 8/13; ~-5%

Valuation*: Valuation approximate — verify live.

Key dates: Reported FQ (rev +~23% y/y) Aug 13.

6-month trend: Off highs with the semis complex despite strong numbers.

Read: *Priced for perfection — prefer software over equipment into the digestion.*

Oracle (ORCL) +5.4% midweek

Valuation*: Valuation approximate — verify live.

Key dates: Next earnings in September.

6-month trend: Strong uptrend on cloud/AI backlog; ran into Hedgeye's momentum 'outbucket.'

Read: *Crowded long showing froth — respect the range on the upside.*

Sources

Market data & news: CNBC, Reuters, Bloomberg, Yahoo Finance, MarketWatch, TheStreet, Kiplinger, Detroit News/AP, Forbes, Fortune. Commodities & FX: Kitco, Bullionvault, TradingEconomics, FXStreet. Macro & official: U.S. BLS (CPI/PPI), Federal Reserve H.15, CNN, Eurostat, Kansas City Fed, Lundgreen's (China). Regime & risk ranges: Hedgeye Risk Management (Early Look 'Quad Shift = ATHs', MOMO Tracker, 14 Aug 2026). Prediction markets: Polymarket, Kalshi (via defirate/TradeTheOutcome).

Figures are for the week ending Friday 14 August 2026 close unless noted; verify live prices before acting. Several Mag7 market-cap and P/E figures, weekly basis-point rate moves, and select levels are approximate and were not fully verifiable at build time — they are flagged accordingly and should be confirmed against a live feed before any decision.